

TO OUR SHAREHOLDERS:



JAMES R. HOUGHTON

CHAIRMAN AND CHIEF EXECUTIVE OFFICER

We will long remember 2002 as one of the most challenging years—if not the most challenging—in Corning Incorporated’s long history. I quickly became even more steeped in these challenges in April when, at the request of our Board of Directors, I returned to the company as Chairman and Chief Executive Officer.

Since that time, I am increasingly convinced that, despite our downturn, the long-term future of Corning remains bright and filled with opportunity.

But in the meantime, we have been living in a very difficult reality – one marked by ongoing quarterly losses and drops in revenue. You, our shareholders—along with our employees and our friends in the communities we serve—felt the pain. We all watched our businesses retrench, battered by a weakened global economy and Wall Street turmoil. And we could only wonder what bad news would be next as our stock value continued its seemingly relentless decline.

With the severe drop-off in revenues from our telecommunications customers, we knew we could no longer afford to keep up the costly infrastructure of facilities and staff we had in place. Put simply, we couldn’t spend more than we were making.

We also knew our strengths — and they were many! We knew we were not — nor had we ever been — merely a telecommunications company. Rather, we are a technology company, with the materials and process expertise to create life-changing products. That’s what we’ve been for all of our 152 years; that’s what we’ll continue to be.

And we knew something else ... that our Values, the historic strength of our company, were alive and well. Quality, Integrity, Performance, Leadership, Innovation, Independence and The Individual continue to guide our every move, and continue to set us apart from other companies—especially those caught in the accounting scandals that marred the business world this past year.